

Measuring the Inflation Risk Premium in Government Bonds of the People's Republic of China

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A Memo to Anybody Concerned:

The inflation risk premium (IRP) is the additional compensation investors require for bearing uncertainty about future inflation when holding nominal government bonds. While the IRP can be estimated with reasonable confidence in markets that have deep and liquid inflation-indexed government securities, such as the United States and the United Kingdom, it is considerably more difficult to measure in the People's Republic of China (PRC).

Several factors contribute to this challenge. First, the PRC's market for inflation-linked government securities is relatively small and lacks the liquidity necessary to produce reliable market-based estimates of inflation compensation. Second, government bond yields are influenced by a range of institutional and policy factors — including monetary policy, capital controls, regulatory requirements, and the investment behavior of large domestic financial institutions—that make it difficult to isolate the component of yields attributable solely to inflation risk. Third, China's recent history of relatively low and stable inflation, including episodes of deflationary pressure, has likely reduced the importance of inflation uncertainty as a driver of government bond yields.

As a result, there is no widely accepted market measure of the inflation risk premium for PRC government bonds, and empirical estimates vary depending on the methodology and assumptions employed. In practice, analysts often assume that the inflation risk premium is relatively small and may even be close to zero in recent years. Any estimate should therefore be interpreted with caution and accompanied by a clear explanation of the underlying assumptions and methodological limitations.

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